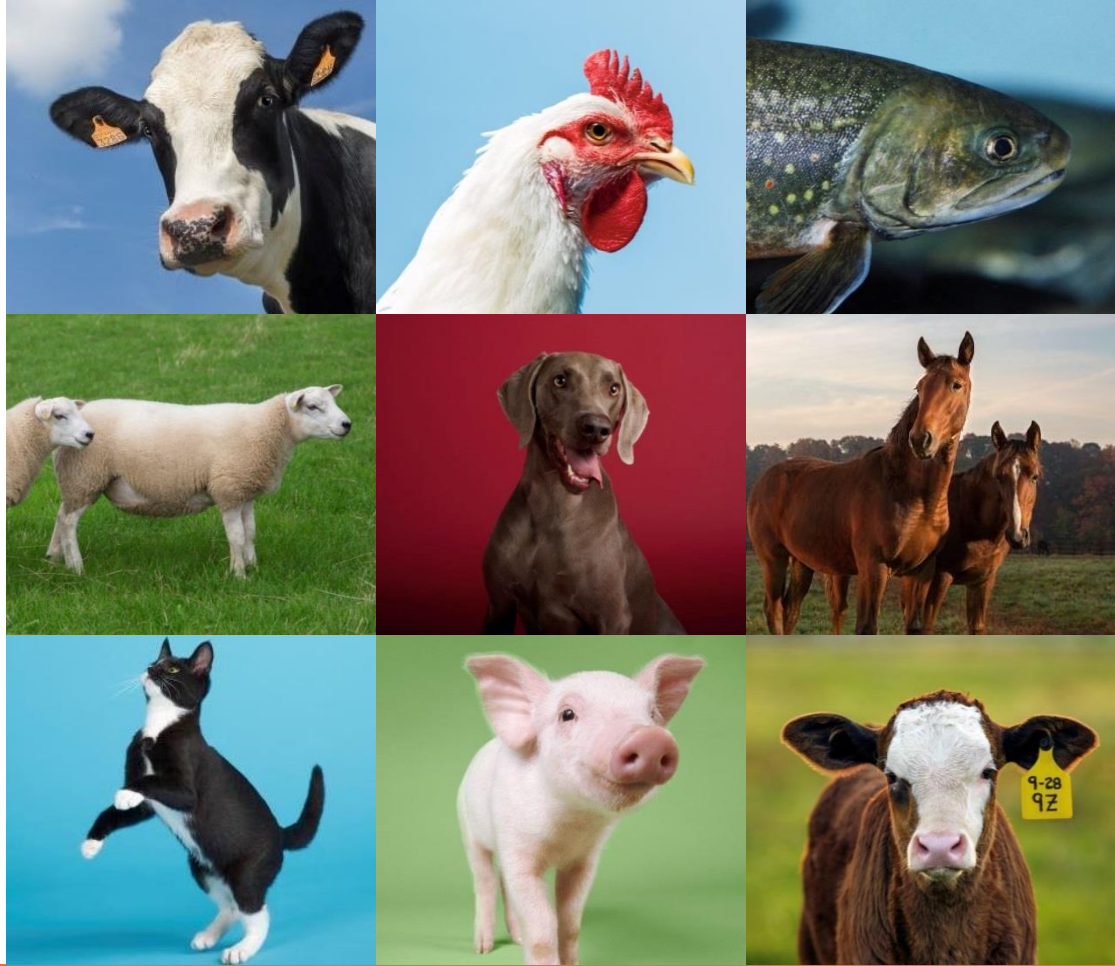


FIRST QUARTER 2019 FINANCIAL RESULTS

May 2, 2019



FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, expectations regarding the performance of acquired companies and our ability to integrate new businesses, expectations regarding the financial impact of acquisitions, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, organic operational growth, adjusted EBIT, adjusted EBIT margin and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY TAKEAWAYS

ZOETIS OFF TO A SOLID START IN 2019

- Generated 11% operational¹ growth in revenue for the first quarter including the impact of the Abaxis acquisition, with 18% operational¹ increase in adjusted net income²
- Primary growth drivers were sales from the acquisition of Abaxis, companion animal parasiticides, and key dermatology products
- Livestock declined in the quarter, based upon timing of sales of medicated feed additives and the impact of African Swine Fever outbreak in China
- Overall results demonstrate the fundamental value of Zoetis' diversified portfolio across geographies, therapeutic areas, and species

COMMITTED TO FULL YEAR OPERATIONAL GROWTH RATES

- Updated full-year 2019 guidance for impact of foreign exchange, and maintained operational growth rates for revenue and adjusted net income
 - Revenue range updated to \$6.100B and \$6.225B, with operational¹ growth of 7.5% to 9.5%
 - Adjusted net income² reaffirmed between \$1.650B and \$1.700B, with operational¹ growth of 8% to 11%
- Expect continued strength in companion animal, and growth in livestock for the full year

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income (a non-GAAP financial measure) is defined as reported U.S. generally accepted accounting principles (GAAP) net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	First Quarter		
	2019*	2018*	Change
Revenue	\$1,455	\$1,366	7%
Reported Net Income	312	352	(11)%
Reported Diluted Earnings Per Share	\$0.65	\$0.72	(10)%
Adjusted Net Income ¹	424	365	16%
Adjusted Diluted Earnings Per Share ^{1,2}	\$0.88	\$0.75	17%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Adjusted diluted earnings per share growth of 17% includes 2% unfavorable foreign exchange impact, and operational growth of 19%.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	First Quarter				
	2019*	2018*	Change	Foreign Exchange	Operational ¹
Revenue	\$1,455	\$1,366	7%	(4)%	11%
Adjusted Cost of Sales ²	434	444	(2)%	(6)%	4%
<i>as a percent of revenue³</i>	29.8%	32.5%	NA	NA	NA
Adjusted SG&A Expenses ²	351	336	4%	(4)%	8%
Adjusted R&D Expenses ²	102	96	6%	(2)%	8%
Adjusted Operating Expenses ⁴	457	436	5%	(3)%	8%
Effective Tax Rate on Adjusted Income ²	18.8%	18.2%	NA	NA	NA
Adjusted Net Income ²	424	365	16%	(2)%	18%

* Millions of dollars

NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³Adjusted gross margin (a non-GAAP financial measure) was 70.2% in the first quarter of 2019, and 67.5% in the first quarter of 2018.

⁴Adjusted operating expenses (a non-GAAP financial measure) of \$457 million in the first quarter of 2019, and \$436 million in the first quarter of 2018 include adjusted amortization of intangible assets of \$4 million in 2019 and \$4 million in 2018.



US SEGMENT PERFORMANCE

	First Quarter				
	2019*	2018*	Change	Foreign Exchange	Operational ¹
Revenue	\$718	\$634	13%	-	13%
Livestock	273	292	(7)%	-	(7)%
Companion Animal	445	342	30%	-	30%
Cost of Sales	147	140	5%	-	5%
Gross Profit	571	494	16%	-	16%
<i>Gross Margin</i>	79.5%	77.9%	NA	-	NA
Operating Expenses	110	96	15%	-	15%
Other (Income)/Deductions	-	-	-	-	-
Earnings ²	461	398	16%	-	16%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Defined as income before provision for taxes on income.

INTERNATIONAL SEGMENT PERFORMANCE

	First Quarter				
	2019*	2018*	Change	Foreign Exchange	Operational ¹
Revenue	\$718	\$726	(1)%	(8)%	7%
Livestock	434	478	(9)%	(8)%	(1)%
Companion Animal	284	248	15%	(8)%	23%
Cost of Sales	210	234	(10)%	(10)%	-
Gross Profit	508	492	3%	(7)%	10%
<i>Gross Margin</i>	70.8%	67.8%	NA	NA	NA
Operating Expenses	132	133	(1)%	(11)%	10%
Other (Income)/Deductions	-	1	**	**	**
Earnings ²	376	358	5%	(5)%	10%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Defined as income before provision for taxes on income.

INTERNATIONAL MARKET REVENUE

	First Quarter				
	2019*	2018*	Change	Foreign Exchange	Operational ¹
Total International	\$718.0	\$725.9	(1)%	(8)%	7%
Australia	48.0	47.6	1%	(9)%	10%
Brazil	60.1	69.6	(14)%	(15)%	1%
Canada	41.1	40.2	2%	(6)%	8%
China	59.5	63.9	(7)%	(5)%	(2)%
France	32.3	33.2	(3)%	(7)%	4%
Germany	36.5	37.5	(3)%	(6)%	3%
Italy	28.1	27.1	4%	(6)%	10%
Japan	37.3	40.9	(9)%	-	(9)%
Mexico	28.1	24.4	15%	(3)%	18%
Spain	27.1	25.3	7%	(6)%	13%
United Kingdom	56.7	52.1	9%	(7)%	16%
Other Developed	83.8	79.3	6%	(6)%	12%
Other Emerging	179.4	184.8	(3)%	(11)%	8%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

2019 FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	February Guidance	May Guidance
Revenue	\$6,175 to \$6,300	\$6,100 to \$6,225
<i>Operational growth¹</i>	<i>7.5% to 9.5%</i>	<i>7.5% to 9.5%</i>
<i>Organic Operational growth²</i>	<i>4.5% to 6.5%</i>	<i>4.5% to 6.5%</i>
Adjusted cost of sales as a percentage of revenue ³	31% to 32%	31% to 32%
Adjusted SG&A expenses ³	\$1,470 to \$1,520	\$1,450 to \$1,500
Adjusted R&D expenses ³	\$445 to \$465	\$445 to \$465
Adjusted interest expense and other (income) / deductions ³	Approximately \$220	Approximately \$200
Effective tax rate on adjusted income ³	20% to 21%	20% to 21%
Adjusted diluted EPS ³	\$3.42 to \$3.52	\$3.42 to \$3.52
Adjusted net income ³ <i>Operational growth^{1,4}</i>	\$1,650 to \$1,700 <i>8% to 11%</i>	\$1,650 to \$1,700 <i>8% to 11%</i>
Certain significant items and acquisition-related costs ⁵	\$90 to \$120	\$130 to \$150
Reported diluted EPS	\$2.83 to \$2.99	\$2.79 to \$2.93

Exchange rates as of late April

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Organic operational growth (a non-GAAP financial measure) excludes the impact of the acquisition of Abaxis as well as foreign exchange.

³Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

⁴We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁵Primarily includes certain nonrecurring costs related to the acquisition of Abaxis and other charges.



Q&A

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